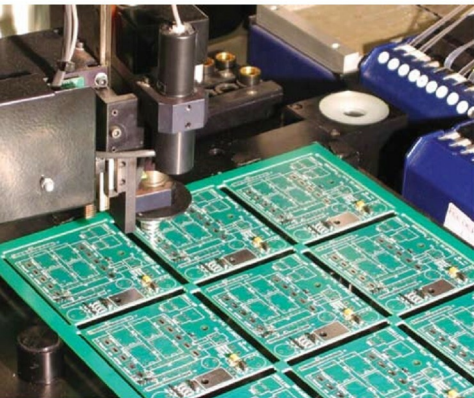


BRIGHT FUTURE AHEAD FOR SMT INDUSTRY

Many electronics hardware manufacturers are shifting from through-hole technology to surface-mount technology (SMT), heralding good times for SMT players



■ ATANU KUMAR DAS

Surface-mount technology (SMT) has been a growing market in India for the last few years, thanks to the growth in electronics manufacturing activities in the country. In the coming years also, India is expected to become a major hub for electronic manufac-

turing activities, with electronics manufacturing services (EMS) leading the way.

According to K. Bharath, research analyst, electronics and security practice, South Asia and Middle East, Frost & Sullivan, "The increase in indigenous manufacturing of telecommunication equipment, automotive electronic components and consumer electronics

has enhanced the usage and sales of high-end SMT equipment in the Indian market. This increase in usage has made the Indian SMT equipment market to be worth \$54.1 million in 2008. The market is further anticipated to grow at a compound annual growth rate (CAGR) of 13.2 per cent till 2012."

Telecommunication revolution in India is encouraging hardware manufacture in India. Almost all the major telecom companies have started manufacturing in the country and this has opened the road for major SMT companies to enter the Indian market either directly or through distributors. Players like Nokia, Sony (Flextronics manufactures Sony phones in India), Samsung, LG and Motorola all have manufacturing plants in India, thanks to some good government initiatives and India's advantage as a low-cost labour nation. SMT players like Siemens, Fuji, OK International, DEK, Samsung, ViTechnology, Assembledon and many others are thus entering

With the increase in the usage of high-end products, placement and inspection equipment alone accounted for 62.7 per cent of the total SMT equipment sales in India in 2008
